Morning Briefing

Saturday, 27 June 2026 | Generated ~06:30 BST | London timezone

Data covers: US session Fri 26 Jun + Asian overnight Fri-Sat 27 Jun

> Weekend edition. European markets closed Saturday. Next trading day: Monday 29 June 2026. Futures levels are Friday close unless stated otherwise.

2. IMPORTANT NEWS

Trump accuses Iran of ceasefire violation after drones target Hormuz tankers

Reuters / PBS NewsHour — 26 Jun 2026

Reintroduces energy tail risk after oil had already fallen ~4% on resuming Hormuz transits. Brent/WTI could whipsaw Monday. Watch Iran's response in the 60-day window.

OpenAI delays IPO to 2027, citing SpaceX debut weakness and AI stock volatility

NYT / CNBC — 26 Jun 2026

Removes a near-term AI market catalyst. Adds to pressure on chip/semiconductor names already in a five-day Nasdaq losing streak. Sentiment-negative for NVDA, AMD, ARM.

Nasdaq logs fifth consecutive losing session; chip stocks lead tech selloff

CNBC / TheStreet — 26 Jun 2026

Pattern of sustained tech de-rating ahead of H1 close. ASML -1.3%, Infineon -3.3%, STMicro -3.3%. European semiconductor plays face continued Monday pressure.

US PCE inflation rises to 4.1% YoY in May; Fed's Kashkari flags one hike this year

BEA / Minneapolis Fed — 26 Jun 2026

Inflation re-acceleration complicates any Fed pivot. Kashkari shifted to hike bias. July FOMC now live risk. 10Y Treasury at 4.39% well supported.

Germany cancels plans for six warships; defense stocks fall on procurement retreat

Reuters / GlobalCapital — 25 Jun 2026

Undermines defense capex optimism that drove Rheinmetall, BAE Systems, and Leonardo higher through Q1-Q2. Sector re-rating risk on Monday open.

3. EUROPEAN FUTURES — PRE-OPEN

Note: European markets closed Saturday. Last available futures pricing: Friday 26 Jun close. Data collected ~06:30 BST Sat 27 Jun.

Index	Last Futures Level	Expected Move (Mon)	Notes
Euro Stoxx 50	6,326	~-0.8%	Tech selloff overhang; AI/chip de-rating
Stoxx 600	n/a	~-0.7%	Futures indicated lower pre-weekend
DAX	n/a	Negative	Watch tech exposure; ASML, Infineon drag
CAC 40	n/a	Negative	STMicro -3.3% Friday; luxury resilient
FTSE 100	n/a	Negative	Energy drag on Brent -4.5%; banks resilient
S&P 500 E-Mini	n/a	Flat/negative	S&P barely moved Friday; watch Monday open
Nasdaq 100	n/a	Negative	OpenAI IPO delay adds Monday pressure

4. YESTERDAY'S CLOSES — FRIDAY 26 JUNE 2026

Data collected from CNBC / Trading Economics. Index closing levels not individually reported; % changes sourced from multiple outlets.

Index	Level	Change	% Change	Session Note
Euro Stoxx 50	n/a	▼	-0.2%	Tech drag offset gains elsewhere
DAX	n/a	▲	+1.59%	Broad industrial gains; Infineon drag
CAC 40	n/a	▲	+1.40%	Luxury names supported; STMicro weaker
FTSE 100	n/a	▼	-0.69%	Energy sector drag; oil majors lower

Divergence: DAX and CAC recovered on domestic industrial names while FTSE and Euro Stoxx weighed by energy/tech. ASML -1.3%, Infineon -3.3%, STMicro -3.3% were notable laggards.

5. US MARKETS — FRIDAY 26 JUNE 2026 SESSION

Source: CNBC, TheStreet. Data collected ~06:30 BST.

Index	Close	Change (pts)	% Change	Notes
S&P 500	7,354.02	**-3.68**	**-0.05%**	Flat; defended by non-tech
Nasdaq Composite	25,297.62	**-61.0**	**-0.24%**	5th consecutive losing session
Dow Jones	51,876.11	**-44.51**	**-0.09%**	Resilient; defensive rotation

Session tone: Muted and defensive. Equities effectively flat but Nasdaq logged 5th straight loss, unusual into H1 close. Rotation out of growth/tech into defensive sectors sustained.

Leading sectors: Utilities, consumer staples, healthcare. Investors de-risking into month/quarter end.

Lagging sectors: Technology, semiconductors. Chip names hit hardest. OpenAI IPO delay broke late in the session, worsening AI sentiment.

Key takeaway: The S&P held but the breadth deteriorated. Nasdaq five-day losing streak entering the H1 close is a warning signal. Watch Monday for any follow-through acceleration.

6. ASIAN MARKETS — OVERNIGHT SESSION (FRI–SAT 27 JUN)

Source: CNBC Asia, Trading Economics. Data collected ~06:30 BST.

Index	Level	Change	% Change	Session Note
Nikkei 225	<70,400	**~-2,000**	**-2.8%**	AI/chip selloff hit Japan hard; prev close 72,360
Hang Seng	22,672	**-405**	**-1.8%**	AI/semiconductor selloff; property sector weak
Shanghai Composite	n/a	▲	**Positive**	Reopened after Dragon Boat Festival; absorbed global moves
Kospi	n/a	n/a	n/a	Data unavailable from search results

Tone: Risk-off in Japan and Hong Kong driven by the US chip/AI selloff. Shanghai provided a partial offset by playing catch-up post-holiday. Japan's Nikkei at near 70,000 is a significant pullback from the 72,360 close just 24 hours prior.

7. COMMODITIES

Source: Trading Economics, TradingView. Data collected ~06:30 BST Sat 27 Jun.

Commodity	Price	Change	% Change	Context
Brent Crude	$72.00 /bbl	-$3.40	-4.5%	Lowest since Feb 27; Hormuz vessels resuming; Iran ceasefire
WTI Crude	$69.40 /bbl	-$2.52	-3.51%	~75% of Persian Gulf exports restored; supply relief
Gold	~$4,000 /oz	▼ week	~-5.0% (week)	On track for 5% weekly loss; USD/rate pressure; ceasefire reduces haven bid
Natural Gas	n/a	n/a	n/a	Energy index -5.4% in May; US natgas +6.1% MoM in May
Copper (LME 3M)	n/a	n/a	n/a	2026 avg forecast ~$12,100/t; below $12,000 hit in March

Notable: Oil's -4.5% (Brent) move on Friday is the dominant commodity story. Hormuz vessel volumes surged to 67 ships/day (Energy Sec. Wright confirmed); Persian Gulf exports ~75% of pre-war levels. However, Trump's ceasefire-violation accusation on Saturday creates tail risk for a gap-up reversal in oil Monday.

8. RATES & FX

Source: Trading Economics, AhaSignals, Investing.com. Data as of ~06:30 BST.

Instrument	Level	Change	Notes
US 10Y Treasury Yield	4.39%	Little changed	Supported by rising PCE; Kashkari hike signal
German 10Y Bund Yield	2.76%	Stable	ECB +25bp June 11; deposit rate 2.25%
US-DE Spread	163bp	Narrow	Narrowing from wides; supports EUR
EUR/USD	1.0900	Stable	ECB-Fed divergence supports euro; DXY weak
GBP/USD	1.3218	Stable	BoE on hold; CPI 2.8%; mid-range recent
DXY (Dollar Index)	97.5	**Weak**	Below 100; USD soft on ECB hike / Iran relief

ECB's first rate hike since 2023 (June 11, +25bp) is the main driver of EUR/USD at 1.09. The US-German spread at ~163bp is below recent wides; any further ECB hawkishness compresses it further and lifts EUR. Watch Trump's Iran comments for safe-haven USD bid Monday.

9. DCM — PRIMARY BOND MARKET

Source: GlobalCapital, ICMA, IFR (general), EC Issuance Calendar. Data collected ~06:30 BST.

YESTERDAY'S ISSUANCES (FRI 26 JUN 2026)

Note: Friday is typically a light DCM session in EUR markets. No specific deal terms available from searches for 26 Jun 2026. End-of-quarter and pre-holiday windows have been the dominant consideration all week.

EUR Corporate IG: n/a — no individual deal terms sourced

EUR HY: n/a

SSA / Sovereign: n/a

Financials: n/a

PIPELINE / EXPECTED THIS WEEK (W/C 29 JUN)

EU Commission: 2026 H1 target of €100bn long-term EU-Bonds approaching deadline. H2 issuance programme (up to €80bn remaining toward €180bn full-year target) expected to be outlined early July.

SSA: Issuers tipped to frontload H2 once funding windows open post-June-close. Whole curve open; 7Y point cited as "interesting" given euro curve shape. Competition for windows expected.

Corporate IG: Window expected to reopen post-H1 close; industrials, financials, energy likely first movers in early July.

HY: Selective; investor appetite present but energy name executions under scrutiny given oil volatility.

KEY SPREADS

Index	Level	Move	Direction
iTraxx Main (5Y)	n/a	n/a	No reliable intraday source
iTraxx Crossover (5Y)	n/a	n/a	No reliable intraday source
CDX IG (5Y)	n/a	n/a	No reliable intraday source
Euro IG Corp Avg (5Y/Bund)	~26-27bp	n/a	Near historical tight

COMMENTARY

The EUR primary market ends H1 2026 in a constructive but fragile state. Spreads near historical tights (EUR IG 5Y vs Bund ~26-27bp) reflect strong technical demand and SSA supply absorption, but the window is increasingly narrow with end-of-quarter balance sheet constraints limiting dealer risk appetite.

The ECB's June 11 rate hike has lifted the risk-free anchor; any further hawkishness or Iran-driven spread widening could trigger a brief window closure into early July. Industrials and transport names face additional scrutiny given defense procurement cuts (Germany warship cancellation) and energy price volatility. Financials remain the most likely early-July reopener given ongoing covered bond demand.

10. ECONOMIC CALENDAR

Saturday 27 Jun = no releases. Below covers next trading session (Mon 29 Jun) and week ahead. Source: Trading Economics, Econoday estimates.

Time (BST)	Indicator	Consensus	Import.	Notes
All day	**H1 2026 Close / Month-End**	—	HIGH	Portfolio rebalancing flows; equities may face redemption-driven selling
Mon–Fri	**Iran/Hormuz ceasefire developments**	—	HIGH	Trump accused Iran of violation; any escalation reprices oil/energy
Tue 30 Jun	**Eurozone CPI Flash Estimate (Jun)**	~2.8% YoY est.	HIGH	Key for ECB July meeting; above 3% = hawkish pressure
Tue 30 Jun	**US Consumer Confidence (Jun final)**	~50.0 est.	MED	Michigan final was 49.5; Conference Board series
Wed 1 Jul	**US ISM Manufacturing PMI (Jun)**	n/a	HIGH	Contraction/expansion threshold 50; watch new orders
Fri 4 Jul	**US Non-Farm Payrolls (Jun)**	n/a	HIGH	Labor market health; key for Fed July rate hike probability
Fri 4 Jul	**US Independence Day**	—	MED	US markets closed; reduced liquidity Friday/Friday Eve

Context: US PCE May was already released Friday (4.1% YoY, up from 3.8%). US Q1 GDP final 2.1% also released. These frame the Fed discussion into July FOMC.

11. CORPORATE EVENTS & EARNINGS

Source: SEC filings, EarningsWhispers, company announcements.

Company	Event	Date	Notes
Codere Online	AGM	30 Jun	Annual shareholder meeting; Luxembourg-listed
GLOBALFOUNDRIES	AGM (completed)	~Jun 23	Completed; filings submitted
Klarna Group	AGM (completed)	22 Jun	London AGM concluded; IPO in final stages
FedEx	Q4 FY2026 Results	26 Jun	Revenue beat narrow; shares -6%; guidance disappoints
Micron Technology	Quarterly Results	~26 Jun	Beat expectations; upgraded to Buy by Erste; stock under chip pressure
US Q2 Earnings Season	Season Start	~Jul 10	S&P 500 consensus Q2 EPS growth +22% YoY; banks lead off
Zegna Group	AGM results	~Jun 26	Luxury; voting results on record

12. STOCKS TO WATCH — MONDAY 29 JUNE

Source: CNBC, Schwab Market Update, analyst reports.

Arm Holdings (ARM) **Upside bias**
Positive divergence from chip peers: +3% Friday after UBS and TD Cowen raised price targets. Potential safe-harbour within the semiconductor space.

ASML Holding (ASML) **Downside risk**
-1.3% Friday; EUV equipment demand outlook tied to AI chip investment decisions now in doubt after OpenAI IPO delay and sector sentiment shift.

Infineon Technologies (IFX) **Downside risk**
-3.3% Friday; auto/industrial chip exposure. Semiconductor selloff extending. Watch for any analyst action Monday.

STMicroelectronics (STM) **Downside risk**
-3.3% Friday; dual-listed (Paris/Milan). EV and industrial semiconductor exposure; sector headwinds persist.

Micron Technology (MU) **Watch**
Erste Group upgraded to Buy; quarterly beat. But sector pressure may overwhelm fundamental strength. Bellwether for memory/DRAM direction.

FedEx (FDX) **Downside risk**
-6% Friday on Q4 results: revenue narrowly beat but guidance disappointed. Global freight volumes and logistics sector demand signal. Watch DHL, DSV, XPO sympathy.

Rheinmetall / BAE Systems / Leonardo (RHM / BA. / LDO) **Downside risk**
Germany cancelled 6 warship contracts, undermining the defense re-rating thesis that drove sector outperformance in Q1-Q2. Risk of further procurement pullbacks across NATO.

Shell / BP / TotalEnergies (SHEL / BP / TTE) **Downside, watch for reversal**
Brent -4.5% Friday; FTSE drag was partly energy. But Trump's Iran drone accusation on Saturday creates binary risk for Monday open: further supply relief vs. renewed Hormuz risk premium.

NVIDIA / AMD (NVDA / AMD) **Downside pressure**
OpenAI IPO delay signals reduced near-term AI monetisation. Hyperscaler capex cycle questioned. NVDA price target hikes this month may face pull-backs.

13. MACRO / CORPORATE / POLITICAL HIGHLIGHTS

MACRO

US PCE May: 4.1% YoY (April: 3.8%). Personal income +0.7% MoM, spending +0.7% MoM. Inflation re-acceleration hardens the case for a Fed hike. Kashkari: one hike anticipated in 2026.

ECB June 11 hike: +25bp; deposit rate now 2.25%, MRO 2.40%, MLF 2.65%. First hike since 2023. ECB projects headline inflation 3.0% (2026), 2.3% (2027). Growth 0.8% (2026). Energy war driving inflation; policy choice is "robust across scenarios."

BoE on hold: CPI 2.8% May 2026, above 2% target. MPC expects CPI "a little under 3% in Q3, a little over 3.25% in Q4." Monitoring Middle East conflict for energy passthrough. Rates unchanged; "stands ready to act."

US Michigan Sentiment June final: 49.5 (above prelim 48.9, below est. 50). 5Y inflation expectations fell to 3.3% (-0.6pp MoM). US Q1 GDP final 2.1% annualised.

CORPORATE

OpenAI IPO delay: Delayed to 2027 amid poor SpaceX debut and AI valuation concerns. Removes the biggest near-term AI market catalyst; pressure on entire AI/chip ecosystem.

FedEx Q4 FY2026: Revenue slight beat but earnings guidance disappoints; shares -6%. Global freight a proxy for demand conditions; signal for shipping and logistics names.

Micron Technology: Quarterly results beat consensus; upgraded by Erste (Hold to Buy). Positive fundamental signal despite sector-wide pressure from AI spending concerns.

SpaceX IPO stumbles: Three-day losing streak post-debut. Damages IPO pipeline sentiment; contributes to OpenAI decision to delay.

POLITICAL / GEOPOLITICAL

Iran/US ceasefire (60-day MoU): Signed June 17 by Trump and Iranian president. Strait of Hormuz opened; Persian Gulf exports at ~75% pre-war levels. 67 ships transited on Thursday per Energy Sec. Wright. Ceasefire runs to ~August 17.

Ceasefire violation claim: Trump said Saturday that Iran launched attack drones at Hormuz-bound ships, calling it "a foolish violation." No confirmed Iranian response yet. Creates significant binary oil risk for Monday.

Germany warship cancellation: Berlin abandoned plans for six warships, a material procurement retreat. Defense equities fell on Wednesday. Raises questions about European defense ramp-up pace and NATO credibility.

Midterm elections context: US midterms approaching; trade and geopolitical posturing likely to intensify. Iran/Hormuz narrative has domestic political dimension for Trump administration.

14. KEY THEMES — TOP 5 BY HORIZON

TODAY'S TOP 5 (MONDAY 29 JUNE)

1. H1 Close / Month-End Rebalancing

June 30 closes H1 2026. Equity funds with tech-heavy positions may sell to rebalance. Amplifies any existing negative momentum in Nasdaq and Euro Stoxx technology.

2. Iran Drone Incident — Oil Binary

Trump's Saturday ceasefire-violation statement creates a binary for oil Monday: further Hormuz supply relief keeps Brent near $72, or escalation reverses the Friday -4.5% drop. Energy names highly reactive.

3. Nasdaq Five-Day Losing Streak

First test of whether the streak continues or reverses. OpenAI IPO delay adds pressure. Chip/AI de-rating has spillover to European semis (ASML, IFX, STM) at Monday open.

4. ECB Rate Path — EUR/Bund Spread

ECB's first hike since 2023 landed June 11. EUR/USD at 1.09; Bund 2.76%. Tuesday's Eurozone CPI flash will test whether ECB signals further hikes or pauses. Key for EUR/USD direction and SSA spreads.

5. Defense Sector Re-Rating

Germany's warship cancellation Wednesday undercut the defense capex narrative that lifted Rheinmetall, BAE, Leonardo through Q1-Q2. Watch Monday open for further positioning adjustment.

THIS WEEK'S TOP 5 (W/C 29 JUNE)

1. H1 Close 30 June — Portfolio Flows

Final settlement date for H1 2026. Equity redemptions and FX hedging flows could drive intraday volatility across all asset classes through Tuesday.

2. Eurozone CPI Flash (Tue 30 Jun)

Above 3% would pressure ECB toward a consecutive July hike. Below 2.5% opens a pause. Most significant single data point for Bund yields and EUR this week.

3. Iran Ceasefire Watch

60-day window expires mid-August. Drone incident claims by Trump inject daily headline risk. Any confirmed escalation could add $5-10/bbl back to oil rapidly.

4. US Labor Market (Fri 4 Jul)

Non-Farm Payrolls for June. Kashkari flagged one hike; strong jobs report cements July FOMC as live. US Independence Day public holiday adds complexity.

5. DCM Window Post-H1 Close

SSA and corporate issuers expected to reopen the EUR primary market in the first full week of July. Watch for syndication mandates announced mid-week as issuers gauge appetite.

THIS MONTH'S TOP 5 (JULY 2026)

1. Q2 US Earnings Season — AI Capex Guidance

S&P 500 Q2 EPS growth consensus +22% YoY. Season kicks off ~July 10 with banks. Microsoft, Meta, Amazon, Alphabet guidance on AI infrastructure spending is the critical read-through for the whole sector.

2. Fed July FOMC Meeting

Kashkari has one hike flagged for 2026; Inflation at 4.1% PCE. A July hike would be the first since the conflict-driven inflation spike. US 10Y at 4.39% pricing something close to it.

3. Iran 60-Day Deal — Escalation or Extension

The MoU runs to ~August 17. July will see negotiating progress (or breakdown) on a longer-term deal. Oil tail risk remains live throughout the month.

4. ECB July Decision — Pause or Consecutive Hike

After June's +25bp, the ECB meets again in July. Depends critically on Eurozone CPI flash (30 Jun) and global energy prices. Two consecutive hikes would significantly reprice Bund yields and EUR/USD.

5. EUR Primary Market H2 Reopening

EU, SSA and corporate issuers expected to front-load H2 in early July. Combined EU long-term bond issuance target: up to €80bn in H2. Competition for windows will test spread levels and investor appetite.

15. KEY TRENDS TO WATCH

1 DAY — MONDAY 29 JUN

- H1 close rebalancing: tech-heavy portfolios face selling pressure; watch Nasdaq open
- Iran binary: oil could gap up or continue lower on ceasefire violation claims
- EUR/USD at 1.09: any ECB commentary or risk-off move into USD tests the level
- Defense names (Rheinmetall, BAE): Monday is first pricing of Germany warship news
- Nikkei -2.8% sets Asia tone: European open will track Asia risk-off

1 WEEK — 29 JUN–4 JUL

- H1 2026 close June 30: month-end / half-year rebalancing the dominant flow theme
- Eurozone CPI flash (30 Jun): shapes ECB July decision and Bund trajectory
- Iran news flow: ceasefire status updated daily; energy and FX reactive
- US payrolls Friday: labor data key to July Fed hike probability
- EUR DCM reopening: first mandates of H2 signal primary market risk appetite

1 MONTH — JULY 2026

- US Q2 earnings: AI capex and cloud guidance from hyperscalers defines sector direction
- Fed July FOMC: first potential rate hike; Kashkari already signaled
- Iran deal framework: July negotiations determine whether $72 Brent is a floor or cap
- ECB July: consecutive hike risk; Eurozone inflation stubbornly above target
- EUR H2 issuance flood: up to €80bn EU bonds + SSA + corporate; spread test

Sources used in this report:

- CNBC Markets — cnbc.com (US closes, European markets, Nikkei, Hang Seng, chip stocks)
- TheStreet — thestreet.com (S&P 500, Nasdaq, Dow Jones close detail; FedEx earnings)
- Trading Economics — tradingeconomics.com (WTI, EUR/USD, Bund yield, PCE, consumer sentiment)
- PBS NewsHour — pbs.org (Iran/US ceasefire developments)
- NPR — npr.org (Strait of Hormuz blockade lift; 60-day ceasefire)
- Newsweek — newsweek.com (Hormuz control uncertainty)
- US Bureau of Economic Analysis — bea.gov (PCE, personal income, Q1 GDP)
- European Central Bank — ecb.europa.eu (June 11 rate decision; inflation projections)
- Statistics of the World — Central Bank Super Week June 2026 analysis
- GlobalCapital — globalcapital.com (SSA issuance pipeline, EUR IG spread levels)
- AhaSignals — ahasignals.com (US-Germany 10Y yield gap tracker)
- Schwab Market Update — schwab.com (sector performance, tech malaise)
- ExchangeRates.org.uk / Poundsterlinglive — GBP/USD historical data
- SEC EDGAR — sec.gov (corporate AGM filings)
- Zacks / HeyGoTrade — analyst upgrades (Arm Holdings, Micron, Canadian National)
- EY Geostrategic Analysis June 2026 — ey.com (geopolitical risk assessment)
- IFM Investors Economic Update June 2026 — ifminvestors.com

Data collected automatically between approximately 05:30–06:30 BST, Saturday 27 June 2026. Verify all figures before making any trading or investment decision. Specific index closing levels where marked n/a could not be reliably sourced and should be confirmed via Bloomberg, Reuters Eikon, or exchange data before use.